Stock Pitch

Phoenix

Phoenix Portfolio Risk Is **Highly Concentrated in High-Beta Tech** Exposure

Source: Prepared by the author using data from Yahoo Finance over the last 3 years.

Addressing Tech Concentration Through Thematic Diversification

Problem Identified

- 5 holdings with beta > 1.4
- Concentrated tech volatility
- Limited low beta exposure

Macro Themes from 2026 Outlooks

- AI investment remains strong (1)
- **Infrastructure & energy demand rising** (1)
- Power availability is AI bottleneck (2)
- U.S. **natural gas** pivotal globally (2)
- **Infrastructure** build out accelerating (2)

Selection Filters

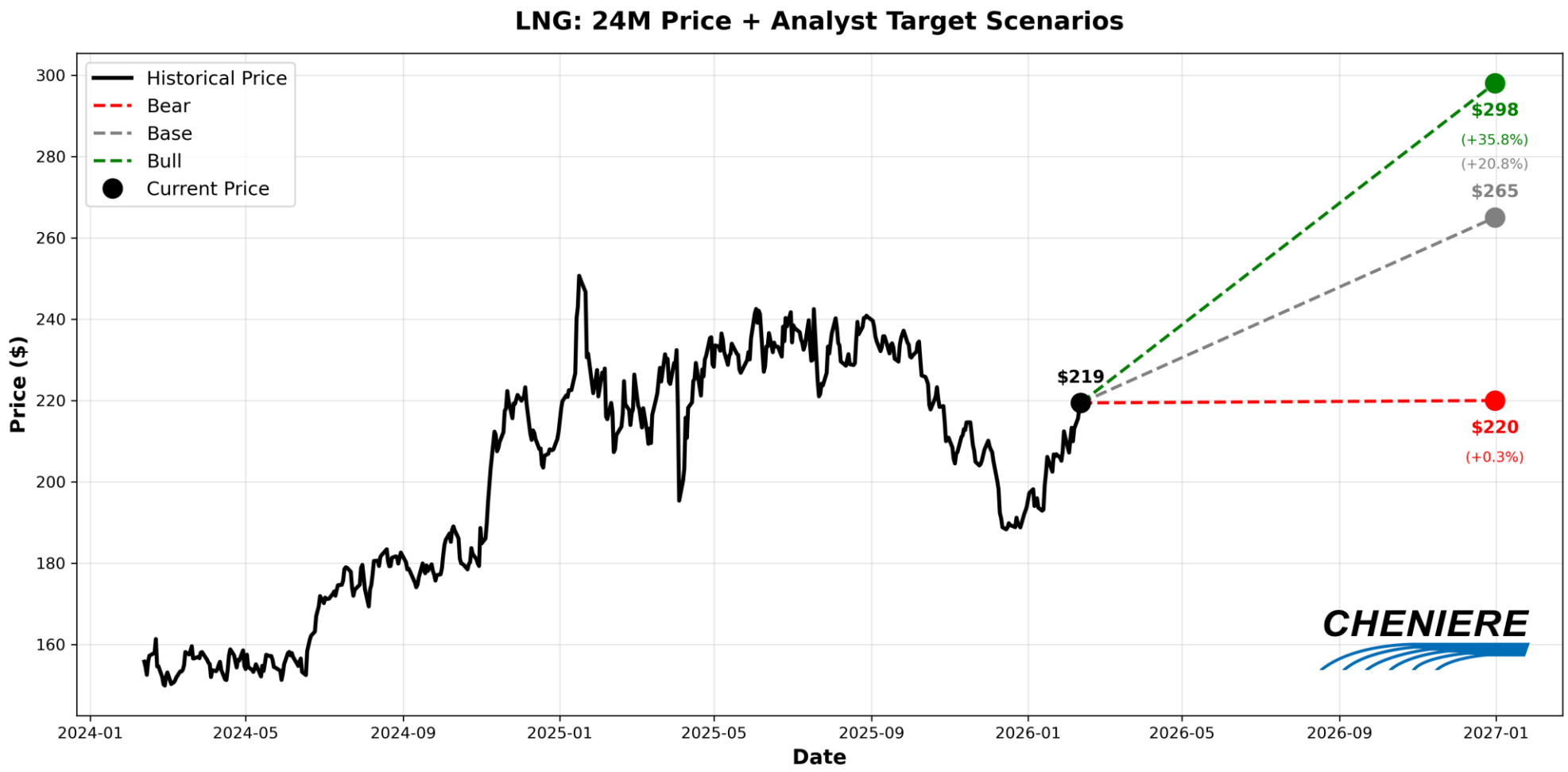
- Beta < 1
- Lower correlation to tech
- **Exposure to power / energy infrastructure**
- Catalyst within 6 months
- Reasonable valuation

Most consistent themes across outlooks were **energy infrastructure, power generation, and natural gas**

Source: (1) J.P. Morgan Asset Management. 2026 Year-Ahead Investment Outlook: AI Lift and Economic Drift. November 2025. (2): BlackRock iShares. 2026 Thematic Outlook: Charting the Themes Impacting Markets. January 2026.

Initiate 5-8% Position in Cheniere Energy (LNG)

Structural LNG Infrastructure Exposure to Improve Portfolio Risk-Adjusted Returns



Source: Finviz; Yahoo Finance; TipRanks analyst consensus data (Feb 2026).

Cheniere Energy Is the Leading U.S. LNG Export Infrastructure Operator

It owns large industrial terminals that liquefy natural gas in the U.S. and ship it to utilities and energy companies worldwide under long-term contracts

What do they do?

- Buy natural gas in the U.S. (priced at Henry Hub)
- Cool it to -162°C to turn it into liquid (LNG)
- Load it onto specialized ships
- Export it to Europe and Asia

How they make money?

- Long-term 15-20 year contracts
- “Take or pay” structure
- Customers pay fixed liquefaction fees
- Limited dependence on short-term gas price moves

Who they sell to?

- European utilities
- Asian utilities
- Energy majors
- National oil companies

Why They’re a Leader?

- Largest U.S. LNG exporter
- Hard to replicate infrastructure
- Ongoing capacity expansion
- Long-term contracts already signed (reputation)

Source: Press Search, Cheniere Investor Relations 10Q Forms.

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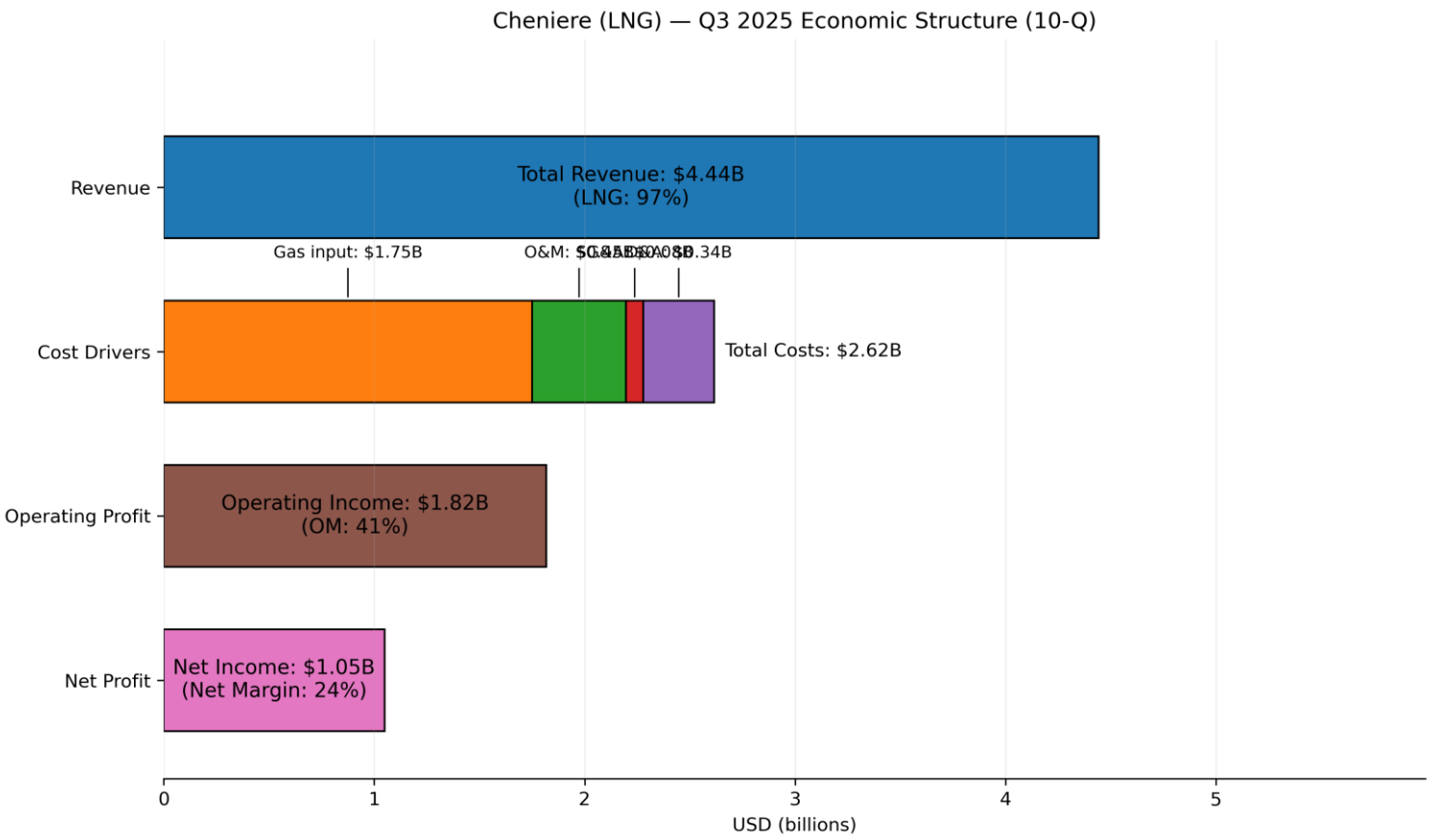


Revenue Exposure:

- Global LNG demand
- Long-term contracted volumes

Cost Exposure:

- Henry Hub gas price

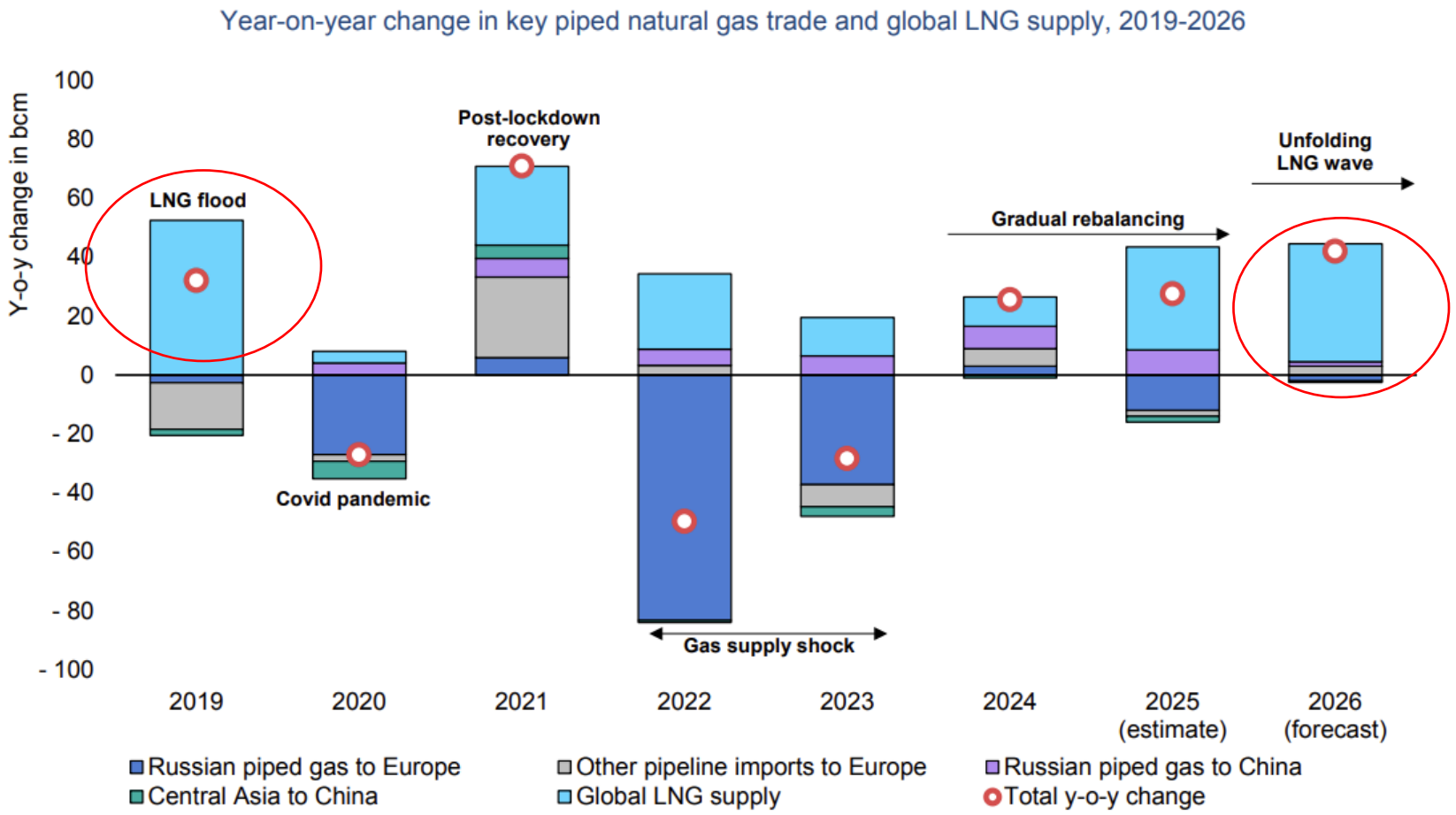
Stability From:

- 15-20 year contracts
- 95% contracted capacity until 2030
- Large-scale infrastructure

Source: Press Search, Cheniere Investor Relations 10Q Forms.

Global LNG Supply Wave + European Rewiring = Structural Tailwind for U.S. Exporters

EIA projects accelerating LNG supply growth in 2026 while Europe permanently reshapes its gas sourcing away from Russia.



Largest LNG supply build out since 2019 (per EIA)

Source: U.S. Energy Information Administration (EIA), Gas Market Report, Q1 2026.

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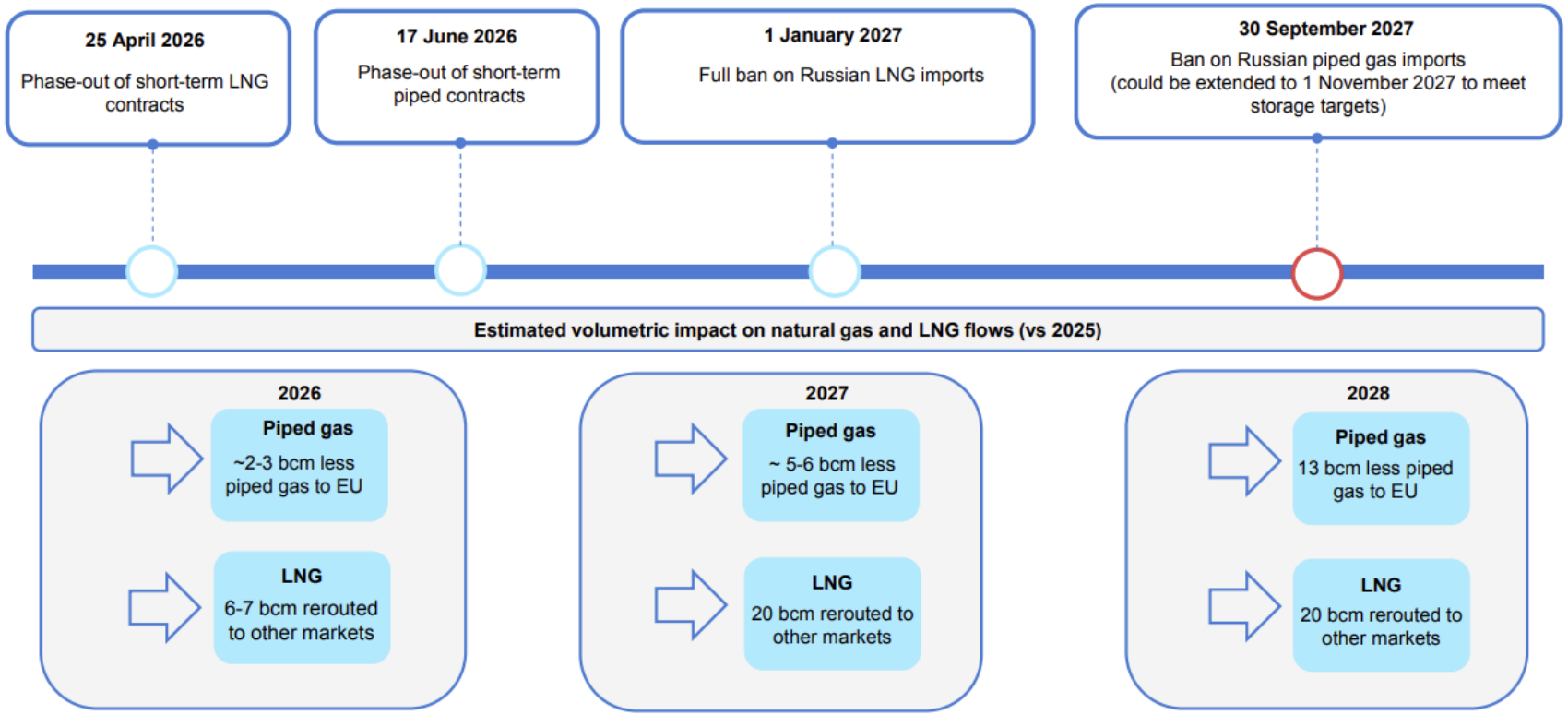
Timeline for the phase-out of Russian natural gas imports into the European Union and estimated volume impact



- Europe is structurally removing Russian gas.
- That supply gap must be filled. U.S. LNG is the primary marginal supplier

Source: U.S. Energy Information Administration (EIA), Gas Market Report, Q1 2026.

Attractive Relative Valuation Within LNG & Midstream Peers

Cheniere's ~12x P/E compares favorably to peers trading 20-35x earnings.

Ticker	Market Cap	P/E	Forward P/E	P/Free Cash Flow
PAA	13954.75	11.77	12.05	6.3
LNG	47224.67	12.21	15.8	21.25
EPD	76689.73	13.35	11.47	24.25
ET	62521.97	14.58	11.91	11.84
OKE	53421.77	15.61	14.6	18.31
AM	9735.06	20.95	15.85	14.15
KMI	69968.72	22.97	21.36	28.03
ENB	112444.98	28.25	23.3	31.95
TRGP	47634.89	29.84	22.8	74.11
WMB	86853.09	36.8	27.4	96.61

Source: FinViz.

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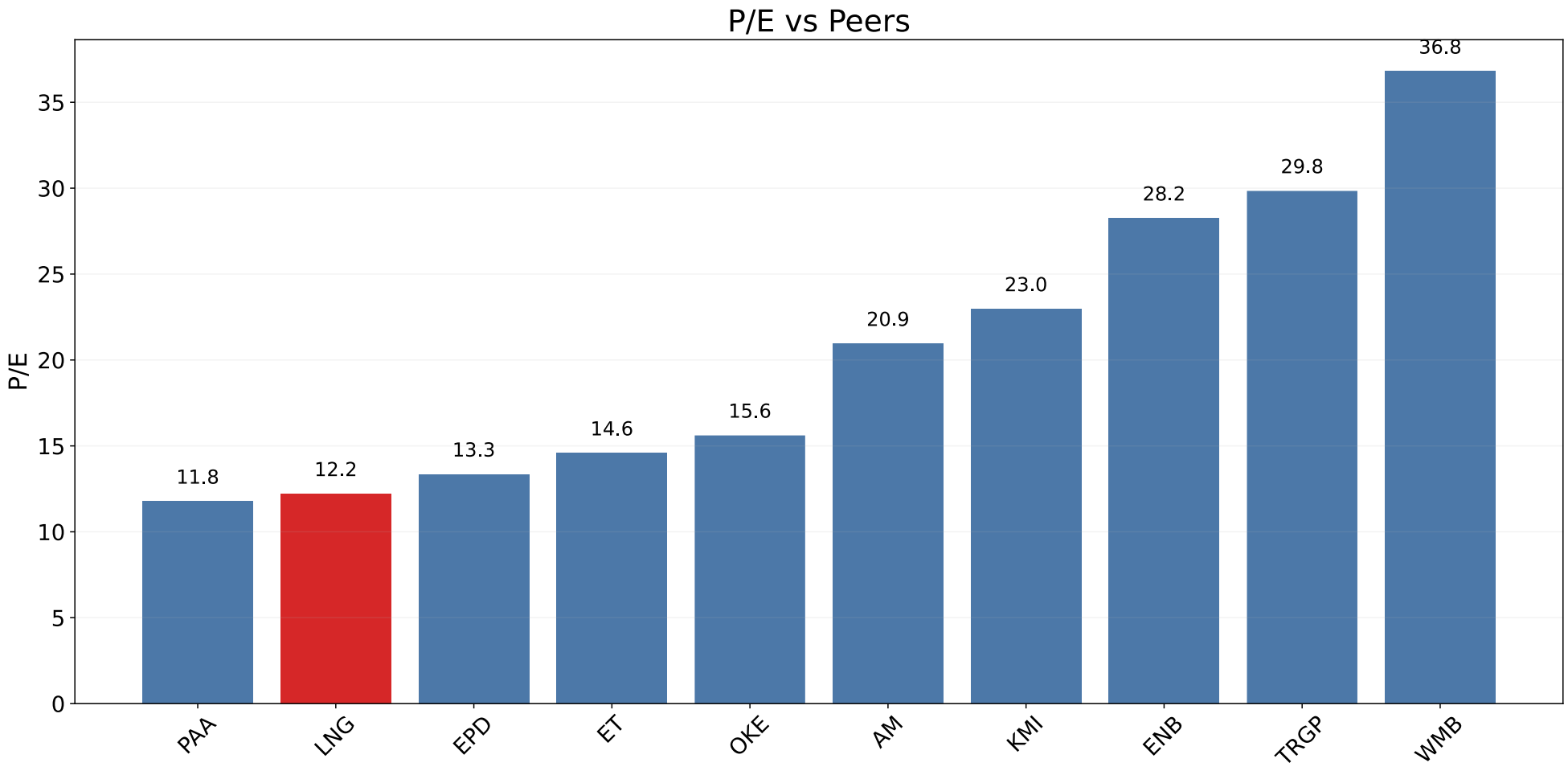


Source: FinViz.

DCF Valuation

Even assuming margin normalization and a modest exit multiple, intrinsic value remains near current levels.

Inputs

Identifier	LNG-US
Discount Rate	8.0%
Effective Tax Rate	11.9%

Discounted Cash Flow Analysis - Cheniere Energy, Inc. (LNG-US)

All figures in millions of USD except per share items.	2024	2025	2026	2027	2028	2029	2030
Free Cash Flow Calculation:							
Total Revenue	15,776.00	19,755.31	21,696.25	23,253.44	24,192.00	25,168.45	26,184.31
Total Revenue Growth Rate		25.2%	9.8%	7.2%	4.0%	4.0%	4.0%
EBITDA	8,203.00	6,853.59	7,285.86	7,218.91	7,363.83	7,340.12	7,354.50
EBITDA Margin	52.0%	34.7%	33.6%	31.0%	30.4%	29.2%	28.1%
Depreciation & Amortization	1,890.00	1,313.75	1,376.16	1,378.81	1,378.81	1,378.81	1,378.81
Net Operating Profit After-Tax (1)	5,564.28	4,882.82	5,208.81	5,147.46	5,275.19	5,254.29	5,266.97
Plus: Depreciation & Amortization	1,890.00	1,313.75	1,376.16	1,378.81	1,378.81	1,378.81	1,378.81
Less: Capital Expenditures	(2,238.00)	(2,637.77)	(2,184.90)	(1,705.10)	(955.50)	(1,475.00)	(2,346.00)
Capital Expenditures % of Revenue	-14%	-13%	-10%	-7%	-4%	-6%	-9%
Less: Incremental Working Capital	-1.00	(1.0)	(1.0)	(1.0)	(1.0)	(1.0)	(1.0)
Unlevered Free Cash Flow	5,215.14	3,557.67	4,398.97	4,820.10	5,697.47	5,157.05	4,298.69
Discount Rate			8.0%	8.0%	8.0%	8.0%	8.0%
Discount Factor			0.93	0.86	0.79	0.74	0.68
Discounted Free Cash Flow			4,073.12	4,132.46	4,522.83	3,790.58	2,925.62

	2024	2025	2026
Effective Tax Rate	11.9%	11.9%	11.9%
Shares Outstanding			215
Current Stock Price			219.41
Current EV			78,619.1
LTM EBITDA			6,904.5
EV/LTM EBITDA			11.4x

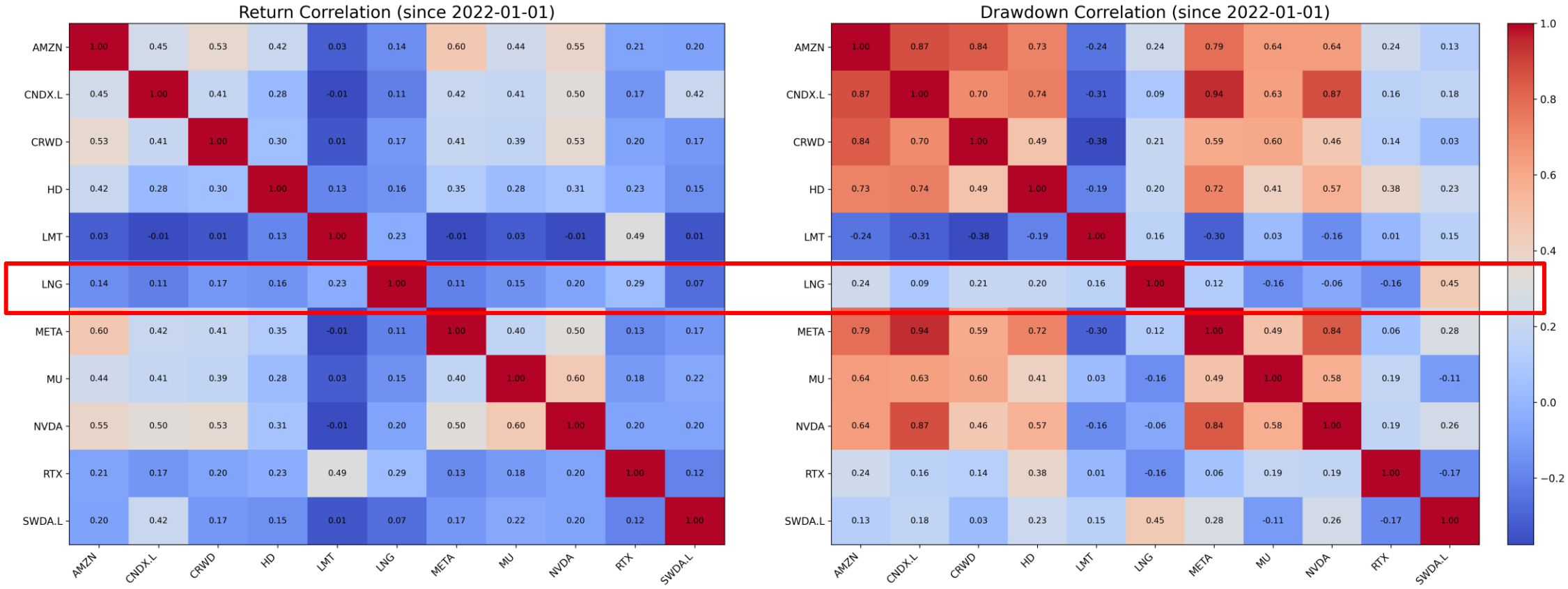
PV Calculation w/ EV/EBITDA Exit Multiple

Projected 2030 EBITDA	7,354.50
Selected TTM Multiple	11.4x
Discount Factor	0.68
Implied Terminal Value	56,994.00
Sum of Discounted Cash Flows	19,444.61
Implied Terminal Value	56,994.00
Total Enterprise Valuation	76,438.61
Less: Total Debt	(26,451.00)
Less: Noncontrolling Interest	(4,712.00)
Plus: Cash & ST Investments	1,398.00
Total Equity Valuation	46,673.61
Implied Value Per Share	**216.85**
Premium to Current Stock Price	***-1.2%***

Source: Factset.

Strategic Diversification Through LNG: Low Correlation Unlocks Portfolio Resilience

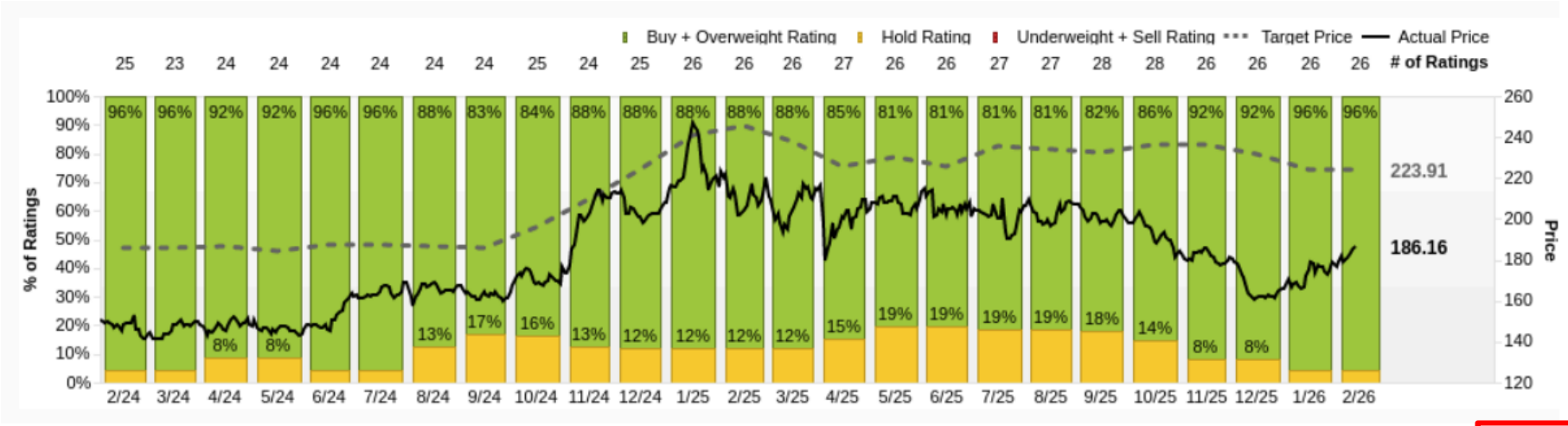
LNG demonstrates independence from traditional tech and industrial holdings



Source: FinViz.

Target Prices & Consensus

Analyst Consensus Points to Strong Upside



AVG: 21.1%

Broker	Analyst	Rating Date	Rating*	Price on Rating Date	Tgt Price Date	Tgt Price*	Price on Tgt Price Date	Tgt Price Implied Return (%)
Mean		**12 Feb '26**	**Buy (1.13)**	**186.17**	**12 Feb '26**	**223.91**	**186.17**	**20.3**
Restricted	Restricted	05 Feb '26	Buy	178.54	05 Feb '26	236.59	178.54	27.1
RBC Capital Markets	Elvira Scotto	02 Feb '26	Buy	176.19	02 Feb '26	229.82	176.19	23.4
TPH&Co	Zack Van Everen	02 Feb '26	Hold	176.19	02 Feb '26	196.74	176.19	5.7
U.S. Capital Advisors	James Carreker	30 Jan '26	Buy	177.80	30 Jan '26	250.49	177.80	34.6
Jefferies	Lloyd Byrne	23 Jan '26	Buy	176.36	23 Jan '26	213.48	176.36	14.7
Equisights	Parth Talsania	22 Jan '26	Overweight	176.24	22 Jan '26	209.27	176.24	12.4
Raymond James	Justin Jenkins	21 Jan '26	Buy	177.15	21 Jan '26	237.57	177.15	27.6
Mizuho Securities USA	Gabriel Moreen	19 Jan '26	Buy	177.58	19 Jan '26	234.54	177.58	26.0
BMO Capital Markets	Ameet Thakkar	16 Jan '26	Buy	178.27	16 Jan '26	219.06	178.27	17.7
TD Cowen	Jason Gabelman	15 Jan '26	Buy	174.75	15 Jan '26	215.48	174.75	15.7
Restricted	Restricted	14 Jan '26	Overweight	171.29	14 Jan '26	222.13	171.29	19.3
Wells Fargo Securities	Michael Blum	09 Jan '26	Buy	166.81	09 Jan '26	240.53	166.81	29.2

Source: Factset.

Technical Analysis

Source: FinViz.

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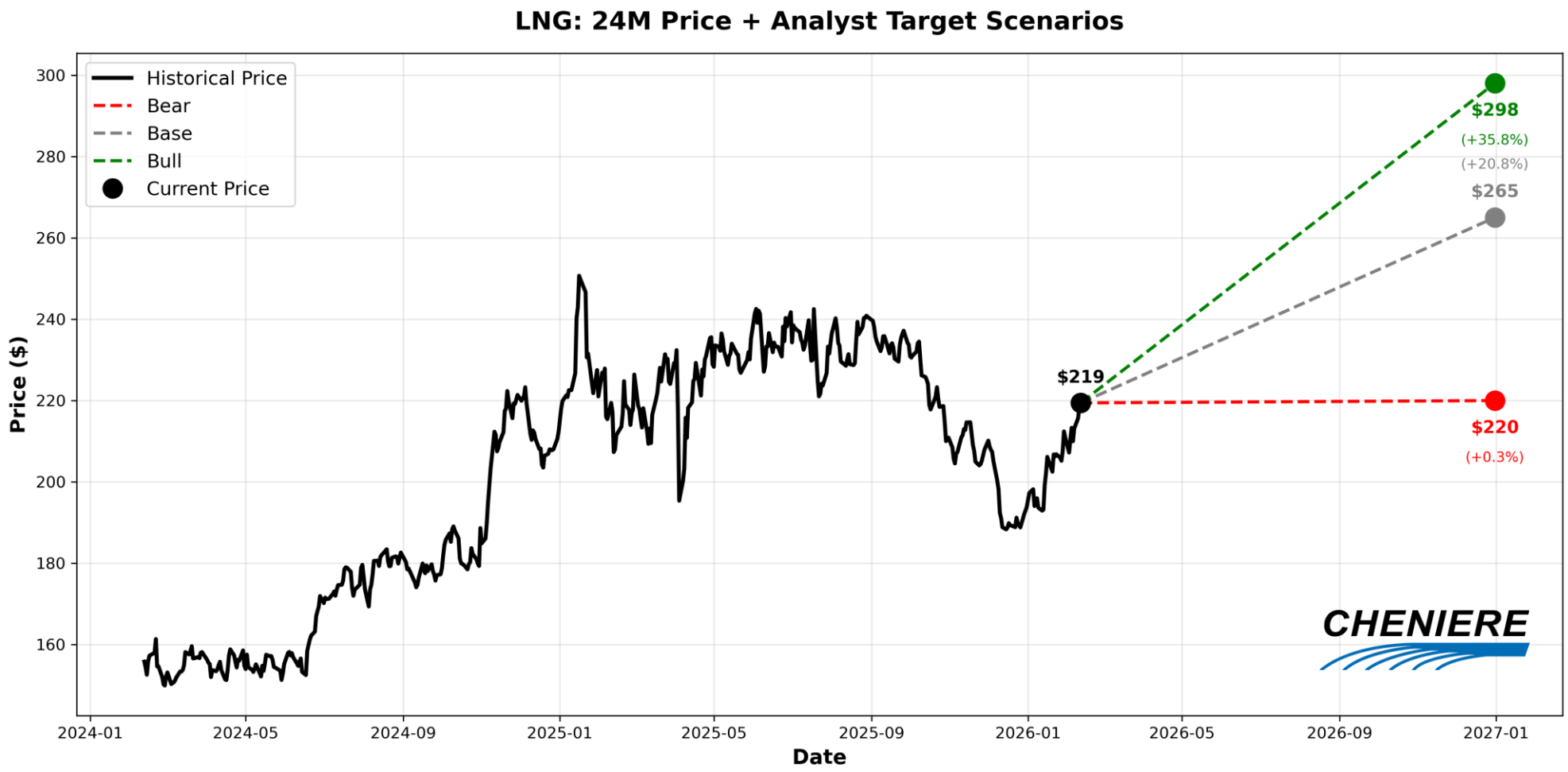
Structural LNG Infrastructure Exposure to Improve Portfolio Risk-Adjusted Returns



Source: Finviz; Yahoo Finance; TipRanks analyst consensus data (Feb 2026).

Pros and Cons

Cheniere: Contracted Infrastructure Model with Commodity & Execution Risk

Pros

Long-Term Contracted Revenue

- ~95% of LNG production capacity contracted into mid-2030s
- High revenue visibility

Scale & Market Leadership

- Largest U.S. LNG exporter
- Second-largest globally
- Competitive moat

Infrastructure Barriers to Entry

- Liquefaction terminals require:
  - Multi-year construction
  - Billions in capital
  - Regulatory approval

Strong Operating Cash Flow Supports:

- Debt reduction
- Buybacks
- Dividends

Cons

- Profitability **exposed** to compression in the spread between **U.S. natural gas prices and global LNG pricing**
- High capital intensity and leverage increase **sensitivity to interest rates** and refinancing conditions
- Execution risk related to Corpus Christi Stage 3 expansion and future capacity additions
- Regulatory and export policy risk given U.S. LNG approvals are subject to federal oversight
- Global economic slowdown could reduce LNG demand and pressure export volumes

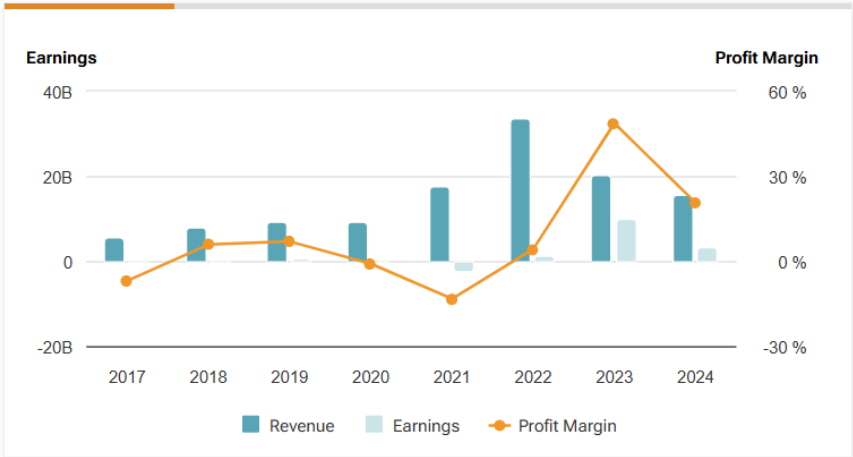
Source: FinViz.

Appendix

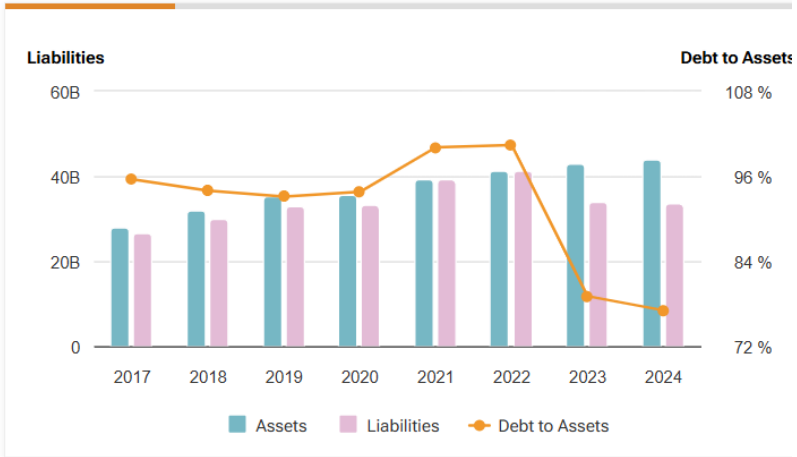
Phoenix

Financials

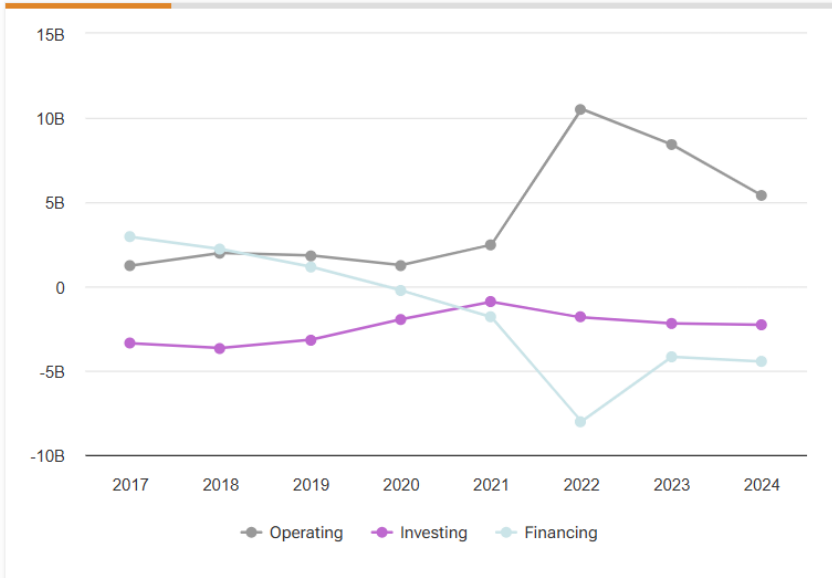
Cheniere Energy Earnings and Revenue History



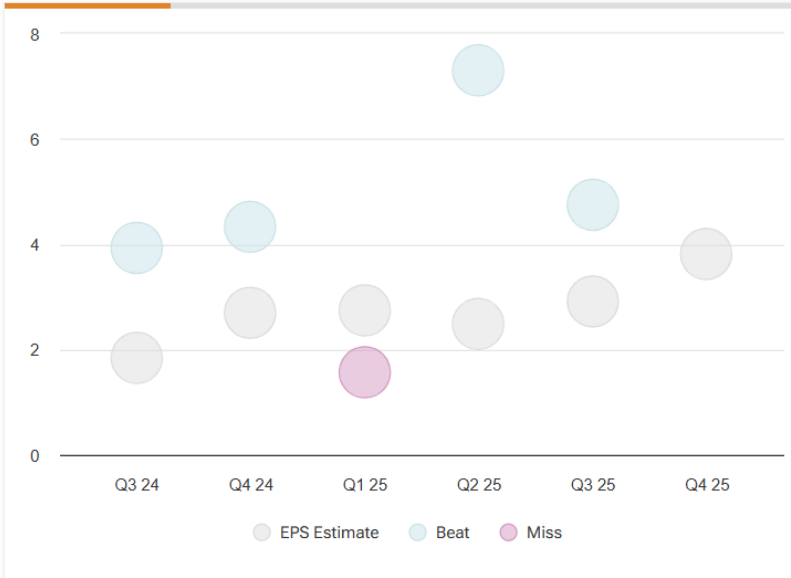
Cheniere Energy Debt to Assets



Cheniere Energy Cash Flow



Cheniere Energy Forecast EPS vs Actual EPS



Source: TipRanks.